



As Prepared For Delivery

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1Q15 Earnings Script: May 5th, 2015

Thank you, Juan Ramón, and good morning everyone.

We have lots of important things to talk about on this call as we've just revealed our plans to improve the efficiency of our operating model... But before we get to that I don't want us to lose sight of the terrific quarter we've just put on the board. So...let's get started...

QUARTERLY HIGHLIGHTS

As you'll remember.... our fourth quarter of 2014 featured strong operational growth ... and we were able to carry that momentum forward into Q1 of 2015 and give us a good start to the year.

We delivered on our primary value-drivers...posting revenue and adjusted net income growth...on an operational basis of 6% and 14% respectively.

Like other US multinational companies FX rates had a major impact on our reported results. On a reported basis FX rates decreased our reported revenue by \$58 million resulting in our reported revenue growth being flat with Q1:14. The impact on our Adjusted Net Income was \$16 million and so reduced our growth in Adjusted Net Income from 14% on an operational basis to 8% on a reported basis. So FX impacted our top line by some 600 basis points and Adjusted Net Income by 600 basis points.

I've said this before and I will say it again today... we cannot control FX rates. We manage our business on an operational basis, and on that basis we're continuing to deliver strong fundamental growth in revenue and profits.

You can read about the regional segment results in the press release and tables, so I won't spend too much time on them here.

Here are some highlights ...

- The U.S. continues to perform very well...up 9% versus Q1:14 with strong livestock performance, which was up 14%. We continue to gain share in the US livestock segment, especially in cattle, based on producers' confidence in the reliability of our products to protect their investment in their animals. In companion animal, which was up 3%, we anticipate even more positive results through the balance of the year as we now have increased supply for Apoquel.
- CLAR also continues performing well...revenue up 13% on an operating basis... driven by Brazil and other emerging markets. Later...when I talk about our go-forward plans to streamline and adjust our global footprint...I will speak to our plans to de-emphasize our efforts in Venezuela where the business and economic climates are becoming more challenging.
- In APAC where we posted 1% operating growth in revenue, we are seeing good performance in emerging markets like China, but drought conditions in developed markets including Australia and New Zealand are having an impact.
- And in EuAfME...where revenue was flat compared with Q1:14, the takeaway is that good performance on our key brands in companion animal are being offset by declines in anti-infectives, primarily due to the legislative changes in France.

OPERATIONAL EFFICIENCY INITIATIVE

Now let me turn to what I will call our operational efficiency initiative. This initiative is a natural next step in the evolution of our company as a stand-alone entity with a singular focus on animal health.

While we enjoy an enviable position in animal health today... our current product portfolio, footprint and organization came about in ways that were to some extent unplanned. The makeup of our product portfolio was heavily influenced by Human Health acquisitions made by Pfizer that had Animal Health components.

These were very important to building our scale and portfolio, but the Animal Health assets were not the focus of those deals. And, while we have spent a lot of time and energy standing up our own organization and building our own culture...we quite

naturally carried across organizational designs, processes and practices that worked well when we were a division of Pfizer...but may not represent the best options for a pure-play animal health company.

Said another way, it's doubtful that we serendipitously came upon the best possible structure and organization to maximize our opportunity in the animal health industry. Our first priority over the last few years has been to build out the functions we need to support our business on a stand-alone basis...we had to establish our own supply chain, build our own IT infrastructure and put in place the G&A functions like Finance, HR and Legal to support a global, public company.

While we did that, we elected to leave our commercial and R&D organizations largely as-is to minimize the impact of our standup on our customers and on our business. I think our track record of revenue and profit growth over the last two years and so far in 2015 support the wisdom of that approach.

But, now... with the completion of the stand-up activities in sight ...it's time to look at the entirety of our current state and take steps to improve the design and efficiency of our company.

Importantly, we are not questioning the fundamental elements of our business model. Our model relies on what we refer to as our three interconnected capabilities...(1) face-to-face interaction with our customers to drive revenue, (2) investment in product innovation to sustain our revenue base and growth prospects and (3) the ability to meet our customers' demands with quality products. These capabilities form the basis of our competitive advantage in the global Animal Health industry and changes to these areas will fall into the category of continuous improvement...not major changes.

The bulk of our future cost-savings will not impact these areas. Our field force ... the personnel on the front lines with our customers... will remain largely intact. The scope of

our activities in R&D will also remain substantially the same. And we will continue to invest in programs to build and improve our Supply Chain.

Let me separate the 2015 program into two parts as I see them ...and then add on the previously announced Supply Network Strategy to think about three areas of focus.

Part one...is what I will call 'rationalizing our footprint'. Part two...is driving improved efficiency in our operating expenses. And part three...is streamlining and improving the efficiency of our Supply Chain.

Start with 'rationalizing our footprint'... this work included a review of the number of SKUs that make up our product portfolio... consideration of moving to indirect sales models in a number of markets where we currently have a direct presence ... and evaluations of markets where we might choose to reduce our efforts.

The headline here is that we will be eliminating nearly 40% of our total SKUs. These SKUs create significant complexity across multiple functions within our company.

Of course...this will reduce our revenue and gross profit in the near term...but it will enable us to substantially improve the efficiency of our operations...from our supply chain and sales support...to G&A expenses and the product maintenance costs that are part of our R&D. With a leaner portfolio comprised of our more profitable product assets ... we will have better growth prospects.

We also intend to move from direct sales models to indirect distributor models in certain countries and to reduce our efforts or exit some markets.

When complete...the streamlining of our portfolio and global footprint will reduce our expected 2017 sales by some \$280 million and gross profit by about \$100 million. For the avoidance of doubt...those numbers are based on current FX rates. The estimated

revenue and gross profit impacts are reflected in our revised guidance for 2016 and 2017.

Part two of the initiative is driving improved efficiency within our SG&A expenses and our investment in R&D. We are collapsing from four regions to two as we go forward. We are reorganizing the support for countries including enabling functions like finance, IT, HR and legal... but also the non-customer facing resources that support our field sales forces. We are taking steps to improve the focus of our R&D activities... supporting a smaller portfolio of products, identifying greater efficiency in our regulatory practices, and better prioritizing our R&D spend.

And yes...our expected spend for customer facing resources will be less as well...mainly driven by the reduction in the number of markets where we will have a direct presence and the de-emphasis of certain other markets...but also through improvements in efficiency.

In total... by calendar 2017 we expect our total operating expenses ... that is the sum of SG&A plus R&D... to be roughly \$300 million less than what it would have been but for this initiative.

As I said just a moment ago...we are not changing our business model here...and that's reflected in the way you should think about the sources of the \$300 million of future savings... Roughly one-third is expected to come from reduced G&A and another one-third from commercial resources that are not customer facing. That's roughly two-thirds of the expected savings coming from areas that should not impact our ability to deliver near term and long term revenue growth.

Of the remaining cost savings... about 10% is expected to come from improvements in efficiency within our R&D organization ... About 5% is expected to come from the reduction of field resources tied to our revised global footprint and reduced emphasis in some emerging markets... And the balance of the cost savings is expected to come from reducing complexity and increasing efficiency in other areas.

The third and final piece of the initiative is the Supply Network Strategy that Kristin Peck outlined at our Investor Day last November. Most of the benefits of that work will be realized after 2017 so...for now...let's set the Supply Network Strategy aside and focus on the activities that will impact our results in the period from 2015 to 2017. But keep in mind that the Supply Network Strategy initiative is expected to add some 200 basis points to our gross margin by 2020...on top of the improvements driven by the 2015 initiative.

You have heard me say many times in the past that when looking at our operating efficiency...there were opportunities for us to do better. Today we back those words up...providing you with the framework of our plans to improve the operating performance of Zoetis, while preserving the key elements of our value proposition. In our 'to-be' state in calendar 2017 we will be an even better company than we are today...more profitable on a slightly smaller revenue base...positioned to deliver better growth from a more focused product portfolio...and working off of a leaner cost structure that can be leveraged to support revenue and profit growth over the long-term.

After completing the changes we are announcing today...we will still be the market leader in Animal Health...we will continue to be the biggest investor in innovation in Animal Health....and we will continue to have the largest direct sales network in the industry. Our improved efficiency will provide us with more flexibility to allocate resources where we can best serve our customers' needs and further distance ourselves from the competition. The efficiency initiative adds an estimated \$200 million to our expectations for pre-tax earnings in 2017 driven by the \$300 million in operating expense savings offset, in part, by the \$100 million of projected decrease in gross profit attributable to the streamlining of our product portfolio and rationalizing our global footprint. This initiative adds roughly \$0.28 to our prior estimates of 2017 Adjusted Net Income per share.

So the song remains the same...only better. We are a company that can grow its re-based revenues in line with, or faster than, the mid-single digit growth of our markets...while holding the growth in our leaned-out operating expenses to the inflation rate...and thereby delivering long-term profit growth greater than our revenue growth. And that is off of a higher profit base.

ONE-TIME COSTS

Of course the improvements in our future financial model don't come free...so I want to take a few minutes to talk about one-time costs generally ... and to specifically address the costs associated with the efficiency initiative.

First...it's important for you to know that we have a high standard when it comes to costs that we characterize as 'one-time' and therefore are excluded from Adjusted Net Income. Our policy limits such adjustments to purchase accounting, acquisition-related costs and certain significant items that we evaluate on an individual basis. These include direct and incremental costs required to complete the stand-up of the company and those direct costs that we will incur to execute our efficiency plan.

Next...we want to be transparent about the amount and nature of these costs, so our intention is to provide disclosure of our one-time costs in three buckets...the bucket for stand-up costs and other one-time costs that you are already familiar with...a new bucket for the efficiency initiative that we announced today... and a third bucket for the costs associated with the longer-term elements of the Supply Network Strategy.

We estimate our remaining pretax, stand-up, and other one-time costs at \$180 to \$210 million, with those costs to be recorded primarily in the remainder of 2015 and through 2017. These are primarily all cash costs.

We estimate the one-time pretax cash costs associated with the efficiency initiative to total in the range of \$340 to \$400 million ... and to be incurred in 2015, 2016 and with some modest portion moving into 2017. We expect actual cash payouts to occur over

the next few years. Note that there will also be non-cash charges triggered by this initiative. We are not providing an estimate of these charges as both the amounts and timing could vary widely. As we incur these non-cash charges, we will call them out for you when recognized.

Finally...the Supply Network Strategy one-time pretax cash costs are currently estimated at \$60 to \$100 million and are expected to be incurred over the term of the plan. It's worth noting that we are still in the early phases of architecting the Supply Network Strategy and the final one-time costs for this activity could be substantially different depending on the final outcome of our ongoing analysis of our supply network and the timing or nature of any specific site exits. There will also be non-cash charges triggered by the Supply Network Strategy and we will call those out to you when recognized.

Note that the estimates of one-time pretax costs for both the efficiency initiative and the Supply Network Strategy ignore the possible proceeds that we may receive from the sale of certain assets...which could potentially offset some of the one-time cash costs.

We've provided a webcast slide that summarizes our current estimates of the one-time pretax cash costs associated with each of the three buckets over the period from 2015 to 2017.

We will refresh our view of the various buckets of one-time costs as appropriate.

I want to call your attention now to an unrelated change to our go-forward outlook - - our decision to decrease our activities in Venezuela. The animal health industry in Venezuela features solid underlying fundamentals and our business there has performed well. However, recent economic developments necessitated an evaluation of our efforts there. While our business in Venezuela is profitable, it has become increasingly difficult to realize those profits in US Dollars. Unless and until the environment changes...sales and profits there will drive low quality earnings. So we are

significantly paring back our activities there. To be clear...Venezuela is a solid local market and we will maintain a presence there as we believe that the environment will improve over time. However...in the interim...we believe it is prudent to reduce our activities and exposure there.

The decision to reduce our activities in Venezuela impacts our revenue and profit expectations for 2015, 2016 and 2017. The impact on 2015 can be seen in the exhibit to our press release that bridges from our prior guidance to our revised guidance. We've also provided a slide on the webcast that shows the impact of Venezuela on 2017, which decreases our expectations for Adjusted Net Income in 2017 by 7 cents per share.

GUIDANCE FOR 2015

Now, let me provide an update to our Guidance for the full year 2015 in light of changes in FX rates since our last guidance update, the anticipated impacts of the efficiency program...and our decision to reduce our efforts in Venezuela.

I also want to update you on our expectations for 2016 and 2017 and provide you with more detail about those years. We felt it was important to say more about 2016 and 2017 as there are a lot of moving parts ... and we want you to have a clear picture of our expectations.

First...2015 full year guidance. In our press release and in a webcast slide we have provided a bridge from our prior guidance to our revised guidance.

The headline is that despite the continued headwinds from changes in FX rates and our decision to reduce our business in Venezuela...we are holding our guidance for Adjusted Net Income per share for 2015 in the range of \$1.61 to \$1.68.

This includes plusses and minuses...FX is a minus...again. The changes in FX rates from late January underlying our last updated guidance to late April decreased our

revenue expectation for 2015 by some \$75 million or 155 basis points while the impact on Adjusted Net Income was much less...only about \$5 million or 60 basis points. Then... our decision to pare back our efforts in Venezuela reduces our revenue expectations by \$50 million, operating expenses by \$5 million and decreased our expectations for Adjusted Net Income by \$25 million.

Finally, the big plus...the impact of the efficiency initiative reduced our expectations for operating expenses by \$45 million compared with our prior guidance and increased our expected Adjusted Net Income by \$30 million. So when the dust settles...we expect our reported revenue to be down by \$125 million from our prior guidance range and our Adjusted Net Income to be consistent with our prior guidance...\$1.61 to \$1.68 per share.

It's worth pointing out that we decreased our 2015 guidance for revenue growth on an operational basis by 100 basis points to the range of 5.5% to 7.5%. The reduction in the growth rate is due to the expected reduction in sales in Venezuela. We translate Venezuela revenues at the fixed official exchange rate of 6.3 Bolivars to the dollar...so the \$50 million expected reduction in revenue hits the operational growth rate. And, the Adjusted Net Income operational growth rate is estimated to increase 1% as the contribution from our efficiency program should more than offset the impact of Venezuela.

Turning to 2016 and 2017...we've provided a lot of detail for you so that you can recalibrate your expectations for us through 2017. As you consider how this longer-term guidance compares with your prior expectations, I submit that you must first revise your prior expectations to reflect the changed FX rates. To help you do that...the change in FX rates from late January to late April should reduce your 2016 and 2017 revenue expectations by roughly 215 basis points, COGS by 260 basis points and, Operating Expenses including both SG&A and R&D by 170 basis points with the result being a roughly 235 basis point decrease in projected Adjusted Net Income driven by the changes in FX rates.

Using that rebased forecast in comparison with our revised guidance for 2016 and 2017 will enable you to isolate and evaluate the impacts of the 2015 efficiency initiative together with our decision to reduce our efforts in Venezuela.

In a nutshell...and looking at 2017 when the full benefits of our efficiency initiative are expected to be realized...the efficiency initiative increases our expectations for 2017 pretax income by roughly \$200 million. Meanwhile the Venezuela action reduces our pretax expectations by \$55 million. Net...we add \$145 million to our pretax expectations in 2017, roughly \$100 million in Adjusted Net Income or \$0.20 per share. As Juan Ramon mentioned...the steps we are taking over the next several years are expected to enable us to improve our EBIT margin by some 500 basis points in 2017 – compared with our prior expectations -- to circa 34%.

Here are a few other factors to consider:

- Our guidance does not reflect any future currency devaluation in Venezuela.
- We expect a slightly higher effective tax rate for the remainder of the year than the 27% we had in 1Q15.
- The operating expense benefits we are seeking will begin to be most evident in Q4.

And, our guidance assumes a constant diluted share count of approximately 502 million shares outstanding. This includes share repurchases totaling an estimated \$100 million in the first half of 2015, which are partially offset by actual and projected dilution related to employees' equity-based compensation. We also assumed a comparable level of diluted weighted-average shares outstanding for 2016 and 2017, as we intend for our share repurchase program to at least offset projected dilution related to future employee compensation programs, including the acceleration impacts of our operational efficiency initiative.

All of the other details of our guidance are included in the table attached to our press release. Finally...we covered a lot of ground on this call. To assist with clear

communications, we will be posting copies of Juan Ramon's and my scripts to our investor relations website following this call.

That concludes my prepared remarks and we will now open the line for your questions.